

BUSINESS RESPONSIBILITY REPORT

Pursuant to Regulations 34 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

INTRODUCTION

SKF is dedicated to delivering sustainable results via its business and business conduct. SKF Care is the Group's sustainability framework covering the business, environment, employee and community dimensions.

We have embarked on the journey of developing this Business Responsibility report (BR) based on the suggested framework of SEBI.

This is our sixth year of publishing the BR report and we consider this as an opportunity to showcase our performance and progress across Environmental, Social and Governance aspects. Through this report, we are committed to monitoring and reporting on the non-financial parameters and thereby maintaining confidence and trust of all our stakeholders.

SECTION A: GENERAL INFORMATION ABOUT THE COMPANY

- Corporate Identity Number (CIN) of the Company:
L29130MH1961PLC011980
- Name of the Company: SKF INDIA LIMITED
- Registered address: Chinchwad, Pune 411 033, Maharashtra.
- Website: <https://www.skf.com/in>
- E-mail id: investors@skf.com
- Financial Year reported: 2021-22
- Sector(s) that the Company is engaged in (industrial activity code- wise): class sector

Class	Sector
2814	Bearings and its component

- List three key products/services that the Company manufactures /provides as per the Balance Sheet for the financial year ended March 31, 2022

Following are the Key products provided by SKF India Limited as per the Balance Sheet for the financial year ended March 31, 2022:

- Ball Bearing
- Hub Bearing
- Taper Roller Bearing

- Total number of locations where business activity is undertaken by the Company
 - Number of International Locations - None
 - Number of National Locations - 3 Manufacturing Locations (Pune, Bengaluru and Haridwar). SKF India is having branch offices in major metro cities.
- Markets served by the Company - SKF India Limited is present across the country and serves other group companies outside India.

SECTION B: FINANCIAL DETAILS OF THE COMPANY (ALL VALUES IN INR)

- Paid up Capital - ₹ 494,379,630/-INR
- Revenue from operations - 36,658,892,546 INR
- Total profit after taxes - 3,949,606,237 INR
- Total Spending on Corporate Social Responsibility (CSR) as percentage of profit after tax (%): 1.45% of average net profit for previous 3 years.
- List of activities in which expenditure in 4 above has been incurred.

The above expenditure has been incurred in the following activities:

- Skill development program (Employment Enhancing Vocational Skills)
- Skill development program (Livelihood Enhancement)
- Girls Scholarship program (Empowering Women)
- Education: WeGyaan (STEM School Program)
- Environmental program (Ensuring Environmental Sustainability)
- Sports Education program (Training to Promote Nationally recognized Sports)
- Other Projects (Promotion of Education).

SECTION C: OTHER DETAILS

- Does the Company have any Subsidiary Company/ Companies?**
- No.
- Whether the Subsidiary Company/Companies participate in the BR Initiatives of the parent company? If yes, then indicate the number of such subsidiary company(s).**
Not Applicable

3. Whether any other entity/entities (e.g., suppliers, distributors etc.) that the Company does business with, participate in the BR initiatives of the Company?

As part of Suppliers and distributors Code of conduct, SKF has done the awareness about key Business responsibility actions. The code of conduct is signed by all the suppliers and distributors.

4. If yes, then indicate the percentage of such entity/entities? [Less than 30%, 30- 60%, More than 60%]

More than 60% of direct material suppliers have participated in business responsibility actions.

SECTION D: BR INFORMATION

1. Details of Director/Directors responsible for BR

- a) Details of the Director/Directors responsible for implementation of the BR policy/policies

Name	DIN number	Designation
Mr. Manish Bhatnagar	08148320	Managing Director

- b) Details of BR head

Sr. no	Particulars	Details
1.	DIN Number (if applicable)	
2.	Name	Aparna Srivastava
3.	Designation	Head of Communications, Sustainability & CSR
4.	Telephone number	Tel: +91 (124) 4705004
5.	e-mail id	aparna.srivastava@skf.com

2. Principle-wise (as per NVGs) BR Policy/policies (Reply in/N)

S. No.	Particulars	P1	P2	P3	P4	P5	P6	P7	P8	P9
1	Do you have a policy/policy for?	Y	Y	Y	Y	Y	Y	Y	Y	Y
2	Has the policy been formulated in consultation with the relevant stakeholders?	Y	Y	Y	Y	Y	Y	Y	Y	Y
3	Does the policy conform to any national/ international standards? If yes, specify?	Y	Y	Y	Y	Y	Y	Y	Y	Y
4	Has the policy been approved by the Board? If yes, has it been signed by MD/owner/CEO/ appropriate Board Director?	Y	Y	Y	Y	Y	Y	Y	Y	Y
5	Does the company have a specified committee of the Board/ Director/Official to oversee the implementation of the policy?	Y	Y	Y	Y	Y	Y	Y	Y	Y
6	Indicate the link for the policy to be viewed online?	The links for the policy to be viewed online are provided below: P1, P9 – The links for the policy to be viewed online are provided below: - P1 to P9 common for all https://www.skf.com/binaries/pub12/Images/0901d19680bccd5f-The-Code-of-Conduct-Handbook-SKF-in-India_tcm_12-567931.pdf - P1- https://www.skf.com/binaries/pub12/Images/0901d196809a699a-Vigil-Mechanism-Policy-April-2019_1115_tcm_12-526427.pdf - P2 & P6 - https://www.skf.com/binaries/pub12/Images/094e1bb46354cddc-Group-EHS-Policy_SKF_tcm_12-595022.pdf - P2 - https://www.skf.com/binaries/pub12/Images/SKF%20Code%20of%20Conduct%20for%20suppliers%20and%20sub-contractors_English%20version%201_tcm_12-45396.pdf#cid-45396 - P8 – https://www.skf.com/binaries/pub12/Images/0901d19680cb2f37-SKF-India-CSR-Policy-2021_tcm_12-583398.pdf - P9 - https://www.skf.com/binaries/pub12/Images/094fc3b8be9b69dd-20-0102---Quality-poster_210702_tcm_12-595156.pdf								

S. No.	Particulars	P1	P2	P3	P4	P5	P6	P7	P8	P9
7	Has the policy been formally communicated to all relevant internal and external stakeholders?	Y	Y	Y	Y	Y	Y	Y	Y	Y
8	Does the company have in-house structure to implement the policy/ policies	Y	Y	Y	Y	Y	Y	Y	Y	Y
9	Does the Company have a grievance redressal mechanism related to the policy/policies to address stakeholders' grievances related to the policy/ policies?	Y	Y	Y	Y	Y	Y	Y	Y	Y
10	Has the company carried out independent audit / evaluation of the working of this policy by an internal or external agency?	Y	Y	Y	Y	Y	Y	Y	Y	Y

- These policies have been approved by the Board or, by the Managing Director under the authority of the Board.

2a. If answer to Sr.no 1 against any principle, is 'No', please explain why:

S No	Particulars	P1	P2	P3	P4	P5	P6	P7	P8	P9
1	The company has not understood the Principles									
2	The company is not at a stage where it finds itself in a position to formulate and implement the policies on specified principles									
3	The company does not have financial or manpower resources available for the task									
4	It is planned to be done within the next 1 year									
5	It is planned to be done within the next 1 year									
6	Any other reason (please specify)									

3. Governance related to BR

Indicate the frequency with which the Board of Directors, Committee of the Board or CEO meet to assess the BR performance of the Company. (Within 3 months, 3-6 months, Annually, More than 1 year.)

A detailed assessment is carried out by the Board of Directors once in a year. Limited assessment / review of different elements of BRR is carried out every quarter during the Board Meeting, as part of MD's presentation to the Board. Country Management Team conducts several such reviews / assessments periodically under the guidance of Managing Director.

Does the Company publish a BR or Sustainability Report? What is the hyperlink for viewing this report? How frequently it is published?

The Company publishes its BR Report every year, which forms part of its Annual Report.

Link: (BR Report for financial year 2020-21 (Refer Page number 104-119 of Annual Report) https://www.skf.com/binaries/pub12/Images/0901d19680cbb7e8-Annual-Report-2020-21_tcm_12-583838.pdf

SECTION E: PRINCIPLE-WISE PERFORMANCE.

Principle 1: Businesses should conduct and govern themselves with Ethics, Transparency and Accountability.

We believe that ethical behaviour and good governance help an organization in building stakeholder confidence. Our business ethics require us to drive high ethical standards in our business, increase our accountability by performing our duties with honesty and integrity and acting in a responsible and professional manner to follow the practice of fair competition and treat everyone with respect.

1. **Does the policy relating to ethics, bribery, and corruption cover only the company? Yes/ No. Does it extend to the Group/Joint Ventures/ Suppliers/ Contractors/NGOs /Others?**

We have a well-defined Code of Conduct that requires full compliance with all applicable laws and regulations and exhibits our approach towards implementation of our core values - High ethics, Empowerment, Openness and Teamwork – across our four areas of responsibility mentioned below.

- To our customers, distributors, and suppliers
- To our employees

- To society
- To our shareholders

We have also formulated a comprehensive Code of Conduct for our suppliers and sub-contractors which is extended to NGOs as well.

The objective is to remain committed and vigilant towards ethical conduct of business processes. The objective is to increase the understanding and instill a sense of ownership amongst the employees & business partners.

2. How many stakeholder complaints have been received in the past financial year and what percentage was satisfactorily resolved by the management?

We have developed a stringent process to enable our stakeholders to raise / share their concerns (if any) without any fear of retaliation. The process is working effectively resulting in continuous receipt of such concerns on an ongoing basis. All such concerns are handled / addressed appropriately within pre-determined timeline and necessary disciplinary / corrective steps are taken to mitigate future risks.

We also have a strong mechanism to resolve investors queries. Details of investors queries and correspondence done during the year is shown in the Corporate Governance Report of the Company. During the FY 2021-22, 1155 correspondences were received by the Company out of which 95% correspondences were replied to the satisfaction of the investors. 14 have been attended by 07th April 2022 and the remaining queries were closed by 15th April 2022.

Principle 2: Businesses should provide goods and services that are safe and contribute to sustainability throughout their life cycle

1. List up to 3 products or services whose design has incorporated social or environmental concerns, risks, and/or opportunities.

SKF endorses both the Universal Declaration of Human Rights and the Global Compact, having Human Rights as an integral part of how SKF conducts its business.

Furthermore, SKF also adheres to international guidelines such as the ILO Declaration on Fundamental Principles and Rights at Work, the OECD Guidelines for Multinational Companies and the International Chamber of Commerce (ICC) Charter.

Some examples of our Group products, designed in accordance with the above principles are produced and sold in India, as indicated below:

Sinter wheel application: For one of the leading steel manufacturing company in India, we have designed a Sinter wheel application which shall reduce the grease consumption by 62% throughout the life cycle.

The application shall also increase the Mean time between failure (MTBF) from 6 month to 3 years. The solution shall reduce consumption of grease, contamination ingress and results in lower total cost of ownership to customer.



Integrated Lubrication management: One of the leading sugarcane processing companies was facing the issue of inadequate lubrication and subsequent bearing failure in various equipment resulting in reduced overall plant performance. We offered comprehensive performance-based lubrication management and supply services for the plant, ensuring zero bearing failure because of inadequate lubrication. This is helping customer get resources efficiency by reduction in bearing failures and lubrication consumption.

2. For each product, provide the following details in respect of resources (energy, water, raw material etc.) per unit of product (optional)

We are aware of the impacts our operations are going to have on our environment. We continue to adopt energy conservation initiatives and constantly strive to provide products, services and solutions which are environment friendly and socially viable. We take concerted efforts to minimize the impact on environment and support our innovation and R&D team to deliver energy efficient solutions thereby enhancing our EHS performance.

3. Does the company have procedures in place for sustainable sourcing (including transportation)? What percentage of your inputs was sourced sustainably?

Our EHS policy outlines guidelines for conservation and safeguarding of energy, water and natural resources for the entire supply chain and promotes green procurement.

All the raw materials for our manufacturing are sourced through steel mills. In India, the steel mills are actively participating in sustainability initiatives and developments. Two of the steel mills and four major suppliers are certified for ISO 50001:2011 (Energy Management System). This has resulted in 80% of our steel procurement through sustainable sourcing. Moreover, 80% of our capital expenditure procurement is conducted through sustainable sourcing.

SKF's EHS Policy requires suppliers and sub-contractors to adopt the principles of this policy. Suppliers and sub-contractors are made aware of the policy through various means (contract, trainings etc.) and are expected to work according to SKF specifications.

4. Has the company taken any steps to procure goods and services from local & small producers, including communities surrounding their place of work? If yes, what steps have been taken to improve their capacity and capability of local and small vendors?

Yes. Localization is an important element of our strategy. We encourage our local (within India) suppliers to improve their capability and conduct various audits like:

- Quality techniques audit for new supplier quality approval
- Zero Defect audit for improving supplier capability on quality
- Supply chain audit to improve supplier capacity
- Code of conduct for supplier & Subcontractor audit to care of all legal, social, environmental and safety aspects at supplier site

We have initiated various supplier development programs and trainings (APQP, PPAP, 8D, LSQ, FSD programme, green flow: direct online); including fire safety programmes, contract labour management programmes in steel mill etc., thus helping our suppliers improve their capability and capacity. All the Initiatives are focused on Direct Material suppliers as they are the maximum contributors in purchasing procurement. However, for Indirect Material commodity also we promote local & small producers which include packaging & tooling suppliers. Local & small producers contribute 50% of IDM buying value & 75% as Localization value (within India buying).

SKF has conducted workshops for local vendors focusing on spreading awareness on Code of Conduct, its need in the modern day and the legal requirements embedded in CoC4S. SKF values the contribution of local vendors in its businesses. Hence, we have conducted workshops for local vendors. In the year, 2021, the key focus was on capacity

& capability building of the tooling suppliers in and around SKF Pune location. The following topics were covered: Kaizen/GD & T/Legal Compliances/SKF Code of Conduct for Suppliers & Sub contractors/Usage of Purchasing system /Communication for successful business practices/Quality required for sustenance in market.

5. Does the company have mechanism to recycle products and waste? What is the percentage of recycling waste and products?

Yes, we have a bearing re-manufacturing concept that contributes in a big way to life cycle optimization through up surging the service life of machines and thereby reducing costs. Bearing re-manufacturing also reduces our environmental impact due to the reduced material and energy requirement. This ultimately helps us achieve our aim of using knowledge engineering to deliver high-quality solutions and ensures increased customer satisfaction. We recycle 100% of our returned bearings and processed raw materials by sending them to steel plants where they are being used as raw materials. We recycle 85% of our total waste.

Principle 3: Businesses should promote the wellbeing of all employees

Our employees are our most important assets, and we undertake several initiatives to foster a culture of continuous growth and development. It is our constant endeavour to empower them with safety and skill-upgradation trainings for professional and personal development.

We recognize that our success is the outcome of the competence and commitment exhibited by our employees to drive business. We are committed to providing an environment that is conducive for continuous development and wellbeing of all our employees. All our policies and practices promote this commitment. Our policies on leave, higher education, health care, career progression, flexible work hours, maternity / paternity benefits, multi-skill development, grievance redressal, human rights and employee relations are focused on ensuring overall well-being of our employees.

Our policies are reviewed annually to keep up with the aspirations of our employees as well as the changes in the external environment. We conduct several activities such as sports competitions, long service awards, celebration of festivals, kaizen competitions etc. to boost employee engagement. Our leave provisions are a benchmark in the industry. For the management staff, the sick leave is unlimited. We provide paternity leave and have initiated the 26-week maternity leave even before the 'Maternity Act' was amended. We put in concerted efforts for ensuring that our employees strike a perfect balance between their professional and personal commitments.

We have sponsored "Employee Assistance Program" designed to address personal or family problems, such as mental health, substance abuse, addictions, marital problems, parenting issues, emotional problems, or financial or legal concerns. This is an independent counselling and resource service available 24/7 to employees via phone, e-mail, or live chat. The objective is to aid employees on personal issues that could interfere with overall health, happiness, and work.

It provides counselling and family support, including legal and financial information. The personal information is kept confidential.

1. Please indicate the Total number of employees. 1681
2. Please indicate the Total number of employees hired on temporary/contractual/casual basis. Temporary employees(Trainee) – 825 Contractual employees - 1453
3. Please indicate the Number of permanent women employees – 67
4. Please indicate the Number of permanent employees with disabilities - 1

Benefits for employees:

The permanent employees in management cadre can avail benefits related to leave, health insurance, higher education, flexi working time, superannuation scheme, travel, health checks etc. The unionized employees are governed by agreements reached in wage settlements for various benefits. For the temporary employees we ensure that leave, PF, gratuity, holidays, ESIC are compliant to the provisions of the law. We provide canteen and transport facility to our temporary and permanent employees likewise. 74 employees have received parental leave (Maternal/Paternal) benefits.

5. Do you have an employee association that is recognized by management?

Yes. We have employee associations that are recognized by the management at Pune, Bangalore and Haridwar factories.

There is no multiplicity of unions in the factories and all unions follow a democratic way of functioning, with periodic election of office bearers, committee, and general body meetings. Management supports the unions in conducting the elections peacefully during working hours. SKF believes in nurturing the union and organizes various programs for the development of the union leaders and its members. Two members of the leadership team from Pune union attend the 'World Council of Unions' meetings in Europe every year. Union and Management collaboration workshops are organized for strengthening the partnership in running the business.

6. What percentage of your permanent employees is members of this recognized employee association?

53 % of our permanent employees are members of the recognized employee associations.

7. Please indicate the Number of complaints relating to child labour, forced labour, involuntary labour, sexual harassment in the last financial year and pending, as on the end of the financial year.

S. No.	Category	No of Complaints filed during the financial Year	No of complaints pending as on end of this financial year
1	Child labor/ forced labor/ involuntary labor	0	0
2	Sexual harassment	0	0
3	Discriminatory employment	0	0

At SKF, we strongly believe in our core values and nurture a culture of free and transparent communication at all levels. We believe in Gender neutrality and a policy has been framed accordingly. Every factory/business unit has an Internal Complaint Committee constituted under the Prevention of Sexual Harassment Act. Further details on mechanisms for prevention of child labour and discriminatory employment are provided under Principle 5 of this report.

8. What percentage of your employees were given safety & skill up-gradation training in the last year?

Higher Education Policy (DISHA): SKF has a higher education policy to support employee learning in courses such as MBA and M Tech. We believe in training our employees on a variety of behavioural competencies. To facilitate skill development and training, all three factories have dedicated training centres named as "Kushal". These centres ensure continuous skill upgradation and technical knowledge enhancement among employees. Multi-skill development is an initiative to tap the potential of employees and enhance flexibility. Our factories at Pune and Haridwar have structured policies for promoting multi-skill development among employees and improve flexibility in operations. All permanent and temporary employees undergo structured classroom and on-the-job induction programs. Our contractual employees also receive training from their contractors on the specific areas of their job.

SKF College Campus: At Pune, we have a learning centre (One of 5 such centres worldwide), where we design and deploy variety of technical / behavioural competency development, leadership development and high potential employee development programs. The objective of these programs is to equip our employees with the right skills and capabilities to deliver as expected. We also offer a combination of local and global development programs to ensure employees have the right opportunities to develop themselves and grow in the organization.

Performance and Career Development: We have a structured online process for Performance Management of the staff. Impetus is placed not only on the goal achievement by the employees but also on the behaviour exhibited. Structured programs are conducted for critical talent development and succession planning.

Average hours of training on:	Employees at Management level		Employees at non-Management level		Temporary Employees		Contractual Employees		Permanent Employees with Disabilities	
	M	F	M	F	M	F	M	F	M	F
a) Safety	1	1	1	0.5	6	8	0.5	0.5	0.5	0
b) Skill Upgradation	8	8	5	2	35	58	0.5	0.5	0.5	0
c) Others Management trainings	16	22	0	0	0	0	0	0	0	0

We consider our employees to be our most important assets and undertake initiatives to foster a culture of continuous growth. It is our constant endeavour to empower them with safety and skill-upgradation trainings to motivate professional and personal development. In SKF India last year we had five recordable accidents. All major actions for the avoidance of similar accidents in future has been carried out and subsequent communication and trainings have been completed. Following are the key training initiatives:

We have created Skill Matrix for workmen for yearly skill assessment and identifying training needs. For management staff, we have Individual Development Plan in place. The Circle Leader model in the Pune factory gives the capable operators an opportunity to exhibit their leadership capabilities in teams. We have various leadership development programs such as Manage, lead and coach program in place.

Principle 4: Businesses should respect the interests of, and be responsive to the needs of All stakeholders, especially those who are disadvantaged, vulnerable, and marginalized

1. Has the company mapped its internal and external Stakeholders?

Our internal stakeholders are our employees (contractual and temporary employees), whereas our external stakeholders are our customers, distributors, suppliers, and community. We engage with our stakeholders on a regular basis to understand and address their concerns, and be responsive to the needs of all stakeholders, especially those who are disadvantaged, vulnerable, and marginalized.

We are actively involved in developing and sustaining relationships with our key stakeholders. Our stakeholder engagement strategies have been designed in line with the needs of respective communities. Our engagement process with stakeholders serves a dual purpose of improved risk management and addressing stakeholder concerns to ensure better outcomes.

List the Stakeholder Engagements in the reporting period	Major topics covered in the Stakeholder Engagement	Frequency of the Stakeholder Engagement
All stakeholder	Stakeholder Engagement survey and Material issues of stakeholders.	Once in three years.
Investors	Analyst Meet	Two times in a year.
Customers	Customer meets / Distributor's exhibitions	Quarterly
Customer	Site visit for physical verification of bearings and customer awareness for	Monthly
Distributors	Training on Handling Anti-counterfeit issues to Authorized distributors	Monthly
Distributor Meet	Distributors meet	As and when required

List the Stakeholder Engagements in the reporting period	Major topics covered in the Stakeholder Engagement	Frequency of the Stakeholder Engagement
Supplier Meet	Supplier Strategy, Net zero	As and when required
Retailers	Training on Handling Anti-counterfeit issues to Retailer	Monthly
Customers	Customer Dossiers	Monthly

2. Has the company identified the disadvantaged, vulnerable, and marginalized stakeholders?

Yes. Through our CSR policy we have identified the disadvantaged, vulnerable and marginalized stakeholders in the surrounding communities, including children, women, and unemployed youth.

3. Are there any special initiatives taken by the company to engage with the disadvantaged, vulnerable and marginalized stakeholders?

Our CSR policy guides us on various initiatives that we undertake to engage with the disadvantaged, vulnerable and marginalized stakeholders. The key initiatives undertaken for the well-being of these stakeholders are:

- Skill development program (Employment Enhancing Vocational Skills)
- Skill development program (Livelihood Enhancement)
- Girls Scholarship program (Empowering Women)
- Education: WeGyaan (STEM School Program)
- Environmental program (Ensuring Environmental Sustainability)
- Sports Education program (Training to Promote Nationally recognized Sports)
- Other Projects (Promotion of Education).

Principle 5: Businesses should respect and promote human rights.

Upholding and protecting human rights principles and labour standards, within our organization and our value chain are of the utmost importance to SKF. We ensure employee rights by requiring that all employees respect the human rights and forbid discrimination against, or harassment of others based on race, caste, religion, nationality, gender, physical capability, marital status, sexual orientation, age, ancestry, or other reasons.

1. Does the policy of the company on human rights cover only the company or extend to the Group/Joint Ventures/ Suppliers/ Contractors/ NGOs/ Others?

We believe that it is our obligation to respect our employees and their rights as stated in our code of conduct. Our commitment to human and labour rights requires us

to provide a safe and healthy workplace, offer a non-discriminatory environment, bring diversity across the organization, work actively against the use of child and forced labour, act against any form of harassment, ensure that we meet the minimum standards on wages and working hours and provide opportunities to employees for individual development.

Our Code of Conduct applies to all the company employees, contractors, suppliers, and NGOs. We have a separate code of conduct for suppliers and sub-suppliers which covers all major aspects of human rights and requires our 100% direct material suppliers to undergo an COC4S (Code of Conduct for suppliers and sub-suppliers) audit evaluation. We have success stories which reflect the effectiveness of our Code of Conduct in terms of human rights.

Our responsible sourcing team visits and audits suppliers for observing issues such as missing employment contract, wage disparity for women, not paying overtime wages and other benefits of employment like leave payment. It can also be about chemical handling, environmental pollution due to waste handling, or employee health and safety. This helps supplier to adhere to social and environmental compliance and human rights

2. How many stakeholder complaints have been received in the past financial year and what percent was satisfactorily resolved by the management?

We believe in gender neutrality and our policy has been framed accordingly. We conduct gender sensitization programs for all employees to provide a non-threatening work environment. Recruitments, promotions, and internal job postings are done through a transparent process which involves multiple levels to eliminate any possibility of discrimination. In case of any grievance related to discrimination, employees are free to approach either individually or through the union to the HR Manager, Factory Manager or Director HR.

All our factories comply with the provisions of the Indian Factories Act 1948, with regards to Child Labour. We do not allow any person below the age of 18 to work in the factories, be it directly or indirectly. The HR officials verify the date of birth of all direct employees while the contractors do the same for contractual employees. We also adhere to

the UN Convention on Human Rights and ensure that the human rights of all employees are protected.

We did not receive any stakeholder complaints related to violation of Human Rights during the FY 2021-22.

The basis of SKF's Code of Conduct for Suppliers (CoC4S) is the respect of human rights in supply chain. It is a fundamental part of the supplier approval process and is uniform globally in the SKF universe. SKF CoC4S is applicable to all the suppliers (Direct or Indirect/Tier 1 & 2), service providers-irrespective of spend of business. It is a zero-tolerance policy and any violation is strictly dealt with. No business relationship is initiated with a supplier/service provider who does not consent to adhere to SKF's CoC4S. We ensure that our value chain respects the human rights of all the employees engaged (direct/indirect/pay roll and/or contractual migrant). Human rights with different angles of child labour, forced labour, discrimination, disciplinary practices, working hours, legal compensation, health, and safety practices during manufacturing are covered in CoC4S. In addition to this, impact on environment from manufacturing activity has been of pivotal importance in CoC4S reporting. A close look at the management commitment from suppliers for protection of human rights in their manufacturing set-up as well as their respective supply chain is also reported in CoC4S. All the mentioned parameters are well-defined and measured during the on-site/online audits & corrective action follow-ups are undertaken. All the Direct Material suppliers have to undergo the CoC4S audit evaluation (all new supplier for direct material, steel suppliers) and major suppliers of Indirect Materials like packaging material, oil & lub, abrasive also need to undergo this evaluation before becoming a supplier to SKF. Even for customer approved suppliers, Code of Conduct audits must be performed and there are no deviations to this rule. This is applicable for all business units in India.

SKF India has success stories which reflect the effectiveness of SKF CoC4S related to human rights like basic personal protective equipments (for women and contractual workers); legal wages for women employee & contractual employee; health check-up, insurance and social benefits will be ensured for all employee at supplier site through SKF CoC4S audits.

Principle 6: Businesses should respect, protect, and make efforts to restore the environment.

At SKF, we have a firm commitment towards protection of environment. We ensure that our processes and production units are energy-efficient and safe, and our life-cycle analysis of products evaluate environmental aspects across the entire value chain.

1. Does the policy related to Principle 6 cover only the company or extend to the Group/Joint Ventures/Suppliers/ Contractors/ NGOs/ Others?

We are committed to minimize environmental impacts from our operations, services, and products. Our environmental policy covers the company and extends to our suppliers, contractors, and NGOs. It has been developed to encourage the value chain to reduce its environmental impact.

2. Does the company have strategies/ initiatives to address global environmental issues such as climate change, global warming, etc.? If yes, give hyperlink for the webpage etc.

We work continuously to run our operations in the most energy- and carbon-efficient manner to reduce the environmental impact and to increase SKF's competitive advantage. By making products lighter, more efficient, longer lasting, and repairable, we're doing everything we can to help our customers reach significant energy and carbon while supporting their need for growth. Under SKF Care, Environmental Care is one of the most important principles. We undertake various steps to address environmental impacts at different stages of our product 'life cycles and our entire value chain' on a periodic basis.

In June of 2020, SKF announced the next major step and commitment in our journey to address climate change. SKF is committed for all our manufacturing operations around the world to become Carbon Neutral by 2030. By 2050, our entire supply chain, from raw materials to the delivered products, will be net zero. Reaching a goal that not only involves our own operations but concerns the full value chain will require a strong commitment and determination from everyone who is a part of this chain.

We also work towards sustainable sourcing and transparency and have a dedicated supplier development organization. All our and major Indirect Material suppliers are mandated to undergo the SKF CoC4S audit to ensure compliance with respect to emerging issues such as environmental management, REACH (Registration, Evaluation, Authorisation and Restriction of Chemicals), ROHS and prohibited substances like 3TG (Tungsten, Tantalum, Tin, and Gold) by having policy for conflict Minerals.

Our global environmental targets as available on below link and applicable to SKF India.

<https://www.skf.com/in/organisation/sustainability>

In line with the Environmental Care principle of the SKF Group, we have initiated "SustEn" (Sustainable Energy) to focus on the demand and supply side projects along with use of bilateral power trading of renewable and non-

renewable energy sources and roof top solar installations. SustEn 6 project is started during financial year 2021-22 for Pune, Bangalore and Haridwar plant with more focus on reducing fixed energy component

This has led to multiple benefits such as:

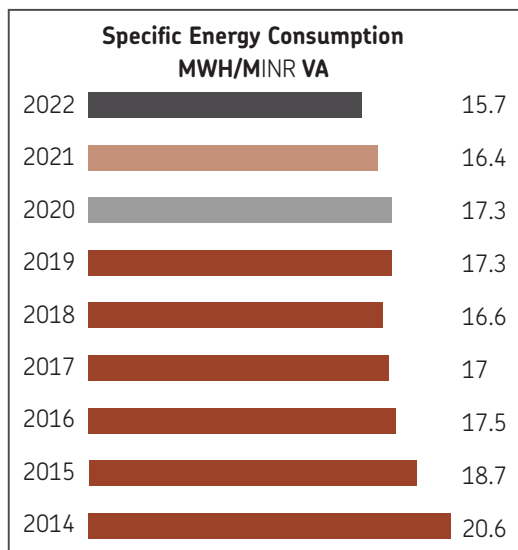
- Reduction in specific energy consumption
- Reduction in GHG emissions
- Improved renewable energy mix

We have adopted a three-pronged approach which includes the following:

- Reduction in energy consumption through six sigma projects at all 3 locations
- Bilateral and trading models of sourcing
- Solar installation

In the reporting period, we have initiated 121 energy saving projects (supply and demand side) at all locations with potential savings. Till 31 March 2022, we have completed 97 projects with a saving of 59 MINR including farm solar energy savings

- Our energy mix has improved over the years. Prior to 2014, our energy requirements were sourced 100% from thermal (State grid). In 2021-22, our energy mix of renewable energy is 42% which includes rooftop/Farm solar, hydel and wind energy.



- Through farm solar/wind and hydal open access procurement @ 17.7 GWH renewable power for Bangalore plant which is 88% of the total requirement of Bangalore plant.
- Pune plant sourced 11.9 GWH of farm Solar and rooftop solar energy during 2021_22.

- Total 29.6 GWH of renewable energy is used by all the 3 plants.
- Specific energy consumption has improved by 25% in FY 2021 over the base of 2014 despite low delivery volumes at all locations and addition of new channels and furnaces.

3. Does the company identify and assess potential environmental risks?

Yes, we have a mechanism to identify and assess potential environmental risks across our operations and in our value chain. We have adopted guidelines of SKF Care principles which focus on the environmental aspects like energy, water, soil and air. The risks are identified in co-ordination with business heads and location teams and steps are taken to mitigate risks.

All forging and major suppliers are certified to ISO 14001 Environmental Management Systems (EMS) standard. As a part of EMS implementation, potential environmental risks are identified, and appropriate mitigation strategies are implemented. For all energy intensive suppliers, we have mandated the ISO 50001 EnMS certificate to optimize energy consumption across our value chain.

4. Does the company have any project related to Clean Development Mechanism? Also, if Yes, whether any environmental compliance report is filed?

We currently do not have any projects related to Clean Development Mechanism.

5. Has the company undertaken any other initiatives on clean technology, energy efficiency, renewable energy, etc.? If yes, please give hyperlink for web page etc.

Yes, the initiatives are mentioned in Question 2

For more information, Kindly visit <https://www.skf.com/in/organisation/sustainability>

6. Are the Emissions/Waste generated by the company within the permissible limits given by CPCB/SPCB for the financial year being reported?

Yes, all our manufacturing plants comply with the permissible limits of air emissions/ waste generation given by CPCB/ SPCB for the financial year. In the financial year, our direct GHG Emissions were 26507 tCO₂, this has reduced due to use of renewable energy use.

Type of Waste Generated	Quantity of Waste Generated in the reporting period Metric tonne / Day
Grinding Dust	6.05
ETP Sludge	0.22
Filter Papers	0.78

Type of Waste Generated	Quantity of Waste Generated in the reporting period Metric tonne / Day
Waste / Spent Oil	0.53
Scrap Bearing components	1.85
Garbage / Factory rubbish	1.38
Corrugated boxes	0.22
Waste Wooden Material	0.56
Metal Scrap	0.27
Plastic Scrap	0.23
Gr. Wheel	0.21

7. Number of show cause/ legal notices received from CPCB/ SPCB which are pending (i.e. not resolved to satisfaction) as on end of Financial Year.

We put in concerted efforts to minimize the impacts of our operations and have been consistent in complying with the regulatory standards of effluents, waste, and emissions. In the financial year, there were no material show cause/ legal notice received from CPCB/ SPCB.

Principle 7: Businesses, when engaged in influencing public and regulatory policy, should do so in a responsible manner.

We recognize our responsibility and the magnitude of influence our inputs can have on vital topics of our interest.

Our active participation in important national level initiatives and associations are a testimony to our commitment towards responsible development. Through our memberships in the following associations, we seek to maintain a healthy dialogue with our stakeholders. We consider these forums as a platform to express our views to policymakers and other stakeholders on matters relevant to our business.

1. Is your company a member of any trade and chamber or association? If Yes, Name only those major ones that your business deals with:

Yes, the names of some of them are :

- 1 Confederation of Indian industry
- 2 Society of Indian Automobile Manufacturers
- 3 Indian Wind Turbine Association
- 4 Textile Machinery Manufacturer Association
- 5 Indian Machine Tools Manufacturers Association
- 6 Swedish Chambers of Commerce
- 7 Condition Monitoring Society of India
- 8 Bangalore Chamber of Industry and Commerce
- 9 Institute of Internal Auditors

- 10 National Safety Council
- 11 Quality Circle Forum of India
- 12 Indian National Suggestion Scheme's Association (INSSAN)

2. Have you advocated/lobbied through above associations for the advancement or improvement of public good?

If yes specify the broad areas.

As a member of the above associations, we contribute in the development and prosperity of the industry. Following are the objectives:

SR No	Associations, Trade, and chambers to which we are a member	Objective for which we have taken membership in these association for public good
1	Confederation of Indian industry	TPM, Quality, Sustainability, CSR, Sales, Industrial relations, Supplier TPM deployment and other admin issues related to the local industries
2	Indian Wind Turbine Association	Wind Industry and Policy updates and influence
3	Textile Machinery Manufacturer Association	Textile industry updates and connect
4	Indian Machine Tools Manufacturers Association	Machine tool industry updates and connect
5	Swedish Chambers of Commerce	Association of Swedish companies in India
6	Condition Monitoring Society of India	To promote more Reliability of equipment. Paid lifetime subscription.
7	Bangalore Chamber of Industry and Commerce	Employee training and development
8	Institute of Internal Auditors	Connect with the Internal Auditors community and sharing of knowledge and best practices
9	National Safety Council	Providing guidance and services to make workplaces safer, healthier and environment friendly.

SR No	Associations, Trade, and chambers to which we are a member	Objective for which we have taken membership in these association for public good
10	Quality Circle Forum of India	Propagation of quality concepts and philosophy with special focus on Quality Circles for promoting material, human and spiritual level of people.
11	Indian National Suggestion Scheme's Association (INSSAN)	Promotion of Suggestion Schemes of Employees for effective Employee involvement towards increasing organisational competitiveness and productivity.

Principle 8: Businesses should support inclusive growth and equitable development.

Activity/ Initiative	Undertaken through:
Skill development program (Employment Enhancing Vocational Skills)	- o Don Bosco Vyavasaik Prashikshan Sanstha, - o Sambhav Foundation, - o North East Knowledge Foundation, - o IMC ITI Bavla Ahmedabad, - o Ambuja Cement Foundation - o Tata Strive Community Initiative Trust
Skill development program (Livelihood Enhancement)	o Tata Strive Community Initiative Trust
Girls scholarship program (Empowering Women)	- o Gramin Shamik Prathisthan, - o Prerana, - o United way of Bengaluru, (all are NGOs')
Wegyaan, STEM School program (Education Program)	o United way of Bengaluru, NGO
Environmental Program Ensuring Environmental Sustainability	- o Green Thumb - o United Way of Bengaluru - o Saahas (all are NGOs')
Monitoring & Evaluation, IT tool and Audits	- o IN2X Sustainability Advisors LLP - o Renalysis Consultants Pvt Ltd - o Suresh Surana & Associates LLP - o Taru Leading Edge

Activity/ Initiative	Undertaken through:
Other Projects : Promotion of Health care and sanitation	o Habitat For Humanity Of India, NGO
SKF Sport Education Program (Training to Promote Nationally recognized Sports)	o Kahaani Time Foundation, NGO
Support for COVID19 pandemic actions	- Govt. Authorities - o Pimpri Chinchwad Municipal Corporation Hospital, - o Hospital @ Ahmedabad - o Swedish Chamber of Commerce, India

As a responsible organization, SKF India Limited, is committed to making a meaningful difference in the communities we operate. All our CSR projects work towards the holistic development of the individual and society. Our vision is "To create a Positive change in the life of the communities where we are present, and through our activities create a meaningful difference from the recipients' perspective."

1. Does the company have specified programmes/ initiatives/projects in pursuit of the policy related to principle 8?

We have a community care model in which the program is structured in accordance with United Nations Global compact principles and The Business Charter for Sustainable Development by International Chamber of Commerce. We are guided by the SKF Group's, SKF Social Policy which delineates a framework to undertake activities with an intent of holistic development of the society.

During the reporting period, we focused on Education, Vocational Training, Health and Hygiene, Sports, Women Empowerment and Social well-being. By working on the following initiatives, we reinforced our commitment towards socio-economic and inclusive development:

- o Promotion of Education
- o Empowering Women
- o Employment Enhancing Vocational Skills
- o Ensuring Environmental Sustainability
- o Training to Promote Nationally recognized Sports
- o Promotion of Health care and sanitation
- o Support for COVID19 pandemic

2. Are the programmes / projects undertaken through in-house team/own foundation/external NGO / government structures/any other organization?

The programmes are undertaken by our in-house team in collaboration with different clubs, foundations, and NGOs.

3. Have you done any impact assessment of your initiative?

Impact assessment has been conducted for three different projects, all the assessment are done by third party expert in domain of social sector and reports has been shared with board and learning have been considered for further project implementation:

1. 'Skill development program (Employment Enhancing Vocational Skills)' & 'Skill development program (Livelihood Enhancement), all the skill centre were in the scope of impact assessment
2. 'Girls scholarship program (Empowering Women)'
3. Environmental Program Ensuring Environmental Sustainability – Khadakwasla project

4. What is your company's direct contribution to community development projects- amount in MINR and the details of the projects undertaken ?

Our contribution towards community development for the current financial year was allocated as follows:

Detailed contribution is part of CSR Report

Initiatives undertaken by SKF India limited for Supporting inclusive Development	Amount Contributed directly in the Initiative by SKF India limited in million INR
Skill development program (Employment Enhancing Vocational Skills)	26.06
Girls scholarship program (Empowering Women scholarship program).	16.58
Wegyaan, STEM School program (Education Program)	3.0
Environmental Program (Ensuring Environmental Sustainability)	6.4
CSR IT portal project ,	1.34
Others :	
Promotion of Health care COVID19 and Sanitation	2.39
SKF Sport Education Program (Training to Promote Nationally recognize Sports)	0.10
Admin as per sec.135	4.00

6 Have you taken steps to ensure that this community development initiative is successfully adopted by the community?

Based on our vision, we create our community care program around three broad focus areas – 'Education, Empowerment, Environment.'

We ensure that the initiatives and the developmental activities are successfully communicated in the communities through various platforms such as print, posters, social media, and word-of-mouth publicity meetings with stakeholders. For successful implementation of the programs and to ensure it is adopted in the communities we serve, we work closely with the NGO partners, Universities, community mobilisers, as well as the local government bodies.

Principle 9: Businesses should engage with and provide value to their customers and consumers in a responsible manner.

We, at SKF India Limited put concerted efforts to ensure customer satisfaction through marketing products, services, and solutions by:

- Operating capable, reliable, and efficient business processes.
- Applying continuous improvement throughout the organization, with the objective of zero defect.

1 What percentage of customer complaints/consumer cases are pending as on the end of financial year?

To address our customers' grievances, we have different channels such as Complaint Handling system (administrative and technical), Customer care and website. During the reporting year, we received 352 admin complaints, 197 technical complaints and 2641 customer care calls. Out of these, 0 (0%) admin complaints, 90 (45%) technical complaints and 0 (0%) customer care calls are pending to be resolved as of 31st March 2021. Technical complaints closure is having elaborate action process of quick investigation, customer review and validation, corrective and prevention actions and customer satisfaction.

In the Customer care calls, 82% have inquires on products, price, packaging, distributor location and other areas.

2 Does the company display product information on the product label, over and above what is mandated as per local laws? Yes/No/N.A. /Remarks (additional information)

Yes, along with mandatory declaration in compliance under the legal metrology laws i.e., the Legal Metrology (Packaged Commodities Rules) 2011, we declare certain information of the product for traceability, special anti-counterfeit marking to identify genuineness.

We have taken a no tolerance approach towards counterfeiting. We continuously strive to increase awareness about the existence of counterfeits.

In 2021-22, we improved the “SKF Authenticate app” which generally enables customers to share photographs of bearings to identify genuineness by including a “Scan Code” feature for customers to check if code displayed on the product package or Distributor certificate is a “Valid” code. This is a step towards instant verification by customers. We continued to conduct awareness seminars about our anti-counterfeit activities with our customers, Distributors (owners & customer facing employees) & SKF employees. We continued to support customers with “Stock Verifications” for their stock, based on requests. In 2021, we have received 5,077 verification requests through the SKF Authenticate App. Of these, about 17% of the request turned out that the customer had bought a fake product. This is helping customer to identify genuine products and ensure that they buy from the right source (Authorized Distributors) in future. A total of 5,093 customers downloaded the “SKF Authenticate” app.

In our continued effort to ensure our Distributors are clean and free from counterfeits, we have strengthened the Distributor Self-Assessment process. The process clearly defines the do’s and don’ts related to counterfeits. All Industrial distributors and about 80% VSM Distributors have completed the process.

In the “New Distributor Appointment” process, we have introduced a new step of “Brand Protection Check” to ensure that new Distributors getting appointed have not been involved in sale of counterfeits, from available information. A stock check of all SKF marked products has also been introduced to ensure that new Distributors carry only “Genuine” stock into the new partnership, and they are “clean” from counterfeits from day 1.

In 2021, we have conducted 16 raids across India, with support from local authorities. A number of bearings with estimated value of 22 MINR on MRP were seized. We have sent 52 notice letters to various sellers across India selling counterfeit SKF products warning them to stop selling counterfeit SKF products or risk facing criminal action.

Efforts taken	Type of communication channel	Frequency of such communication	Geographical extent of such communication	Number of such efforts taken in the reporting period	Total number of participants in the reporting period
Virtual Tech Day and Tech session for Auto OE & General Machinery customers	Virtual & Onsite	Once a year	PAN India	2	120
Facebook SKF Auto club Group for Vehicle aftermarket.	FB - Digital	Throughout the year	PAN India	48	8500+ follower
Vehicle aftermarket new product Campaign Timing Belt, Chain and Sprocket, CVT Belt and Steering & Suspensions	Digital+ Print	Once in a quarter	PAN India	12	20 K Impassions, 20 K prints
Vehicle aftermarket Udaan project Marcom (Brochures, POSM, Videos)	Digital - Print	On going	PAN India	1	10000+
Digital Campaign for Machined Seals, Spindle Service, Chassis lubrication, THU, Fork Seal, Low Friction Seals Automotive OE, REP Good to great	Digital - LinkedIn paid and emailer	Once a year	PAN India	9	2.01 Lacs impressions 1000+ unique view
Advt + Advertorial - Rail Analysis, Iron & Steel review magazine	Print	Once in a quarter	PAN India	2	43700 subscribers.
Organic Social Media Posts	Facebook, Twitter and LinkedIn	2/3 times a week	Pan India	180+	3 lacs +
Stock verification	Checking bearings for counterfeit	On going	Pan India	59	NA
Distributor Awareness	Seminars/Webinars	On going	Pan India	8	230
Customer Awareness (specific to Brand Protection)	Webinars	On going	Pan India	5	145
Customer Awareness	Emails	On going	Pan India	60000	NA

- 3 Is there any case filed by any stakeholder against the company regarding unfair trade practices, irresponsible advertising and/or anti-competitive behaviour during the last five years and pending as on end of financial year.**

There has been no case filed against company not any case pending, either for unfair trade practices, irresponsible advertising, or anti-competitive behaviour during the reporting period.

- 4 Did your company carry out any consumer survey/ consumer satisfaction trends?**

Yes, consumer surveys are performed at regular intervals to get insights from the consumers and drive continuous improvement. In addition to the consumer surveys, consumer satisfaction trend is monitored monthly along with voice of customer. We have customer rating tracker where customer is assessing our performance on various parameters regularly. The overall average Customer rating from Customers in India for FY2021-22 is 95.65%.